

Profit maximization

Economists view firms as profit maximizers. Their decisions about how much to produce, how many workers to hire and where to buy their raw materials are all aimed at maximizing profit – the difference between total revenues and total costs. This may seem obvious, but it is not the only objective that might influence a firm. For example, a manager might aim at expanding the size of the firm so as to boost revenues, but this might not maximize profits if overall costs rose significantly.

When firms set output to maximize profits they make 'marginal' calculations: they compare the extra revenue and extra cost from one more unit of output. Suppose the 'marginal revenue' for a clothes firm from producing an extra shirt is £10, while the 'marginal cost' is £7. The firm will produce this extra shirt because it adds more to revenue than to costs, increasing profit. The firm will keep producing until the marginal revenue from an extra shirt is equal to the marginal cost of producing it – a production level at which profits are maximized.

